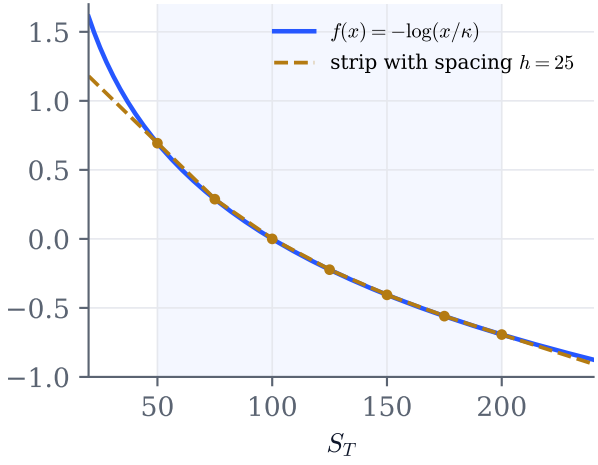
$f(x) = -\log(x/\kappa)$
strip with spacing $h = 25$
1.5
1.0
0.5
0.0
−0.5
−1.0
50
100
150
200
S_T

largest error on $[50, 200]$
bound $h^2 \max|f''|/8$
10^{-1}
10^{-2}
10^{-3}
10^{-4}
10^{-5}
10^{0}
10^{1}
strike spacing h